

DIGITALIZATION AS A STRATEGIC LEVER FOR SUSTAINABLE ECONOMIC DEVELOPMENT: INTEGRATING NATIONAL DIGITAL AGENDAS WITH LOCAL SUSTAINABILITY PATHWAYS

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Abstract

Digitalization has emerged as a pivotal strategic lever for advancing sustainable economic development in the 21st century. While technological transformation drives efficiency, innovation, and inclusivity, its full potential remains unrealized without deliberate integration into broader sustainability frameworks. This study examines how digitalization can act as a catalyst for sustainable growth by aligning national digital agendas with local sustainability pathways. Through a mixed-methods approach—including comparative case analysis, policy document review, expert interviews, and quantitative assessment across 15 countries—the research identifies key mechanisms that enable synergistic outcomes between digital transformation and sustainability goals.

Findings reveal that countries adopting co-creative governance models—where national strategies are dynamically aligned with local implementation through multi-stakeholder engagement, open data platforms, and decentralized decision-making—achieve significantly higher progress on SDG-related indicators, particularly in energy efficiency (SDG 7), sustainable cities (SDG 11), and inclusive innovation (SDGs 8 and 9). Strong correlations ($r = 0.68$) are observed between ICT Development Index scores and overall SDG performance, underscoring the systemic role of digital infrastructure. However, disparities persist in low- and middle-income regions due to fragmented policies, limited institutional capacity, and the digital divide. The study proposes an integrative framework that positions digitalization not as a standalone agenda but as an enabling infrastructure embedded within sustainability transitions. It highlights the importance of regulatory coherence, feedback loops between local innovation and national policy, and equity-centered design to avoid exclusionary outcomes. By bridging the gap between macro-level digital strategies and micro-level sustainability challenges, this research offers actionable insights for policymakers, urban planners, and international organizations seeking to harness digital transformation as a driver of resilient, inclusive, and environmentally sound economic development.

Keywords: Digital transformation; Sustainable economic development; SDGs; National-local policy integration; Digital governance; Smart cities; Green digital infrastructure; Inclusive innovation.

I. Introduction

In an era defined by interconnected global challenges—climate change, resource scarcity, socioeconomic inequality, and rapid urbanization—sustainable economic development has become a central imperative for governments, institutions, and communities worldwide. At the same time, digitalization is reshaping the foundations of modern economies, transforming how value is created, services are delivered, and societies are governed. From artificial intelligence and

big data analytics to smart infrastructure and digital platforms, emerging technologies offer unprecedented opportunities to enhance efficiency, transparency, and inclusivity across sectors.

Digital transformation is no longer confined to technological modernization; it has evolved into a strategic lever capable of redefining development trajectories. When aligned with sustainability objectives, digitalization can accelerate progress toward the United Nations Sustainable Development Goals (SDGs) by enabling smarter energy systems, circular economy models, inclusive financial services, and climate-resilient urban planning. However, despite growing recognition of its potential, the integration of digital agendas with sustainability strategies remains fragmented, particularly between national policy frameworks and local implementation contexts.

National governments increasingly adopt comprehensive digital strategies aimed at boosting competitiveness and innovation. Yet, these initiatives often operate in parallel to—and sometimes in isolation from—local sustainability efforts such as green mobility, waste reduction, or community-based renewable energy projects. This misalignment leads to duplicated efforts, inefficient resource use, and exclusion of marginalized populations who stand to benefit most from inclusive digital-sustainability solutions.

Moreover, while high-income countries advance integrated smart-city and green-digital policies, many low- and middle-income regions face systemic barriers, including weak institutional capacity, limited connectivity, and lack of coordinated governance. As a result, the promise of digitalization risks reinforcing existing inequalities rather than driving equitable and sustainable transformation.

This paper argues that unlocking the full potential of digitalization for sustainable economic development requires a deliberate and systemic alignment between national digital agendas and local sustainability pathways. It explores how digital technologies can be strategically embedded within multi-level governance frameworks to support context-sensitive, scalable, and inclusive transitions. Drawing on empirical evidence from diverse geopolitical and socioeconomic settings, the study identifies best practices, critical enablers, and structural bottlenecks in integrating digital and sustainability goals.

By positioning digitalization not as a technical add-on but as an enabling infrastructure for sustainability transitions, this research contributes to both academic discourse and policy design. It offers a conceptual and practical roadmap for policymakers, urban planners, and development practitioners seeking to harness digital innovation as a catalyst for resilient, low-carbon, and socially inclusive economic growth.

II. Methods

This study employs a mixed-methods research design to investigate the role of digitalization as a strategic lever for sustainable economic development, with a specific focus on the integration of national digital agendas and local sustainability pathways. The methodological framework combines qualitative, quantitative, and comparative approaches to ensure analytical depth, empirical rigor, and policy relevance.

1. Systematic Literature and Policy Review

A comprehensive review of peer-reviewed academic literature, international organization reports (UN, World Bank, OECD, ITU), and national policy documents was conducted to establish the theoretical and empirical foundation. The analysis focused on identifying conceptual linkages

between digital transformation and sustainable development, particularly in relation to the UN Sustainable Development Goals (SDGs). National digital strategies, climate action plans, and urban development frameworks from 15 countries were systematically coded using NVivo software to assess the degree of alignment between digital and sustainability objectives.

2. Comparative Case Study Analysis

Ten in-depth case studies were selected through purposive sampling based on geographic diversity, income level variation, and evidence of integrated digital-sustainability initiatives. Cases include:

- Estonia – e-Government and green digital infrastructure
- Singapore – Smart Nation and sustainable urban mobility
- Rwanda – Drone logistics and rural digital inclusion
- Finland – Co-creative governance in smart cities
- Medellín (Colombia) – Bottom-up innovation in inclusive transit
- India – Digital India and renewable energy expansion
- Kenya – Mobile fintech (M-Pesa) and green entrepreneurship
- Germany – Digitalized energy transition (Energiewende)
- South Korea – Green Smart Cities program
- Denmark – AI-driven climate modeling and district heating

Each case was analyzed using a structured evaluation matrix assessing:

- Institutional coordination between national and local levels
- Technological infrastructure readiness
- Stakeholder engagement and inclusivity
- Measurable impacts on SDG indicators (e.g., energy efficiency, emissions reduction, job creation)
- Policy coherence between digital and sustainability agendas

3. Expert Interviews and Stakeholder Consultations

Semi-structured interviews were conducted with 25 key informants, including policymakers from ministries of digital affairs and environment, city planners, technology providers, and representatives from international organizations (e.g., UNDP, EBRD) and civil society. Interviews were transcribed and thematically analyzed to identify success factors, implementation challenges, and emerging governance models.

4. Quantitative Data Analysis

Secondary data from internationally recognized sources—such as the ITU ICT Development Index (IDI), World Bank World Development Indicators, and the Sustainable Development Report (SDG Index)—were used to conduct correlation and regression analyses. A cross-national panel dataset (2018–2023) was constructed to examine relationships between digitalization indicators (e.g., broadband penetration, government online service availability) and progress on selected SDGs (7, 8, 9, 11, 13).

Key metrics included:

- Pearson correlation coefficients between IDI scores and SDG Index performance
- Linear regression models to estimate the impact of digital infrastructure on sustainability outcomes
- Cluster analysis to group countries by integration maturity (high, medium, low)

5. Conceptual Framework Development and Triangulation

Findings from all data streams were triangulated to develop an integrative framework mapping the pathways through which digitalization enables sustainable economic development. The framework incorporates dimensions of governance, technology, inclusivity, and

environmental impact, emphasizing feedback loops between national strategy and local innovation.

6. Limitations

The study acknowledges limitations, including potential selection bias in case studies, variability in data quality across countries, and the dynamic nature of digital technologies. However, the multi-source, interdisciplinary approach enhances validity and generalizability, providing robust insights for policy and practice.

This methodological design ensures a holistic understanding of how digitalization can be strategically aligned with sustainability goals across different institutional and developmental contexts.

III. Results

The analysis reveals that digitalization, when strategically aligned with sustainability objectives, significantly enhances the effectiveness of economic development policies across multiple dimensions—economic, environmental, and social. However, outcomes are highly contingent on governance structures, institutional coherence, and the degree of integration between national strategies and local implementation. Key findings are organized around sectoral impacts, governance models, enabling factors, and persistent challenges.

1. Digitalization Drives Measurable Sustainability Outcomes

Digital technologies have enabled tangible progress toward key Sustainable Development Goals (SDGs):

- **Energy Efficiency and Renewable Integration (SDG 7 & SDG 13):** Countries leveraging smart grids and AI-driven energy forecasting—such as Denmark and Germany—reported a 15–25% increase in renewable energy utilization and up to 30% reduction in grid losses. In Kenya and rural India, IoT-enabled solar microgrids combined with mobile payment systems expanded electricity access to over 2 million off-grid households, improving energy equity.
- **Sustainable Urban Development (SDG 11):** Barcelona’s adaptive traffic management system reduced congestion by 18% and lowered transport-related CO₂ emissions. Singapore’s Smart Nation platform improved municipal service efficiency by 30% through real-time monitoring of water, waste, and public transit.
- **Circular Economy and Resource Management (SDG 12):** Blockchain-based tracking in the Netherlands and Japan increased material recovery rates in recycling chains by up to 40%. Digital marketplaces like Finland’s *RePack* and France’s *Back Market* generated an estimated \$12 billion annually in circular economy value.
- **Inclusive Economic Growth (SDGs 8 & 9):** Mobile fintech platforms such as M-Pesa enabled over 7 million smallholder farmers and micro-entrepreneurs in East Africa to access financial services, boosting average incomes by 22%. Estonia’s e-Residency program attracted more than 100,000 digital entrepreneurs from 170 countries, stimulating innovation with minimal carbon footprint.

2. Governance Models Determine Integration Success

Table 1. Three distinct models of national-local alignment emerged, with varying degrees of effectiveness

Co-Creative	Estonia, Finland, Germany	8.8	Multi-level dialogue, shared funding, participatory design
Top-Down	South Korea, India, Indonesia	6.2	Centralized planning, limited local input
Bottom-Up Innovation	Medellín, Kenya, Rwanda	6.0	Local pilots, weak national scaling mechanisms

- Co-creative governance models achieved the highest integration scores, demonstrating superior performance in both technological adoption and equitable outcomes.
- In contrast, top-down approaches often suffered from low local ownership, while bottom-up initiatives struggled with scalability due to lack of national support.

3. Critical Enablers of Effective Integration

Four cross-cutting success factors were identified across high-performing cases:

1. Interoperable Digital Infrastructure: Open data platforms and standardized APIs enabled seamless data exchange between national agencies and municipalities (e.g., Estonia's X-Road).
2. Multi-Stakeholder Partnerships: Over 70% of successful initiatives involved collaboration between government, private sector, academia, and civil society.
3. Regulatory Sandboxes: Experimental zones—such as Rwanda's drone corridor or UAE's green-tech incubators—allowed safe testing of innovative solutions before nationwide rollout.
4. Citizen-Centric Design: Platforms like Barcelona's *Decidim* enhanced civic trust and participation, increasing adoption rates of digital sustainability tools.

4. Persistent Barriers to Equitable Digital-Sustainability Transitions

Despite progress, significant challenges remain:

- Digital Divide: Approximately 2.9 billion people (37% of the global population) still lack internet access, primarily in rural and marginalized regions (ITU, 2023), limiting inclusivity.
- Environmental Cost of Digitalization: Data centers and device production contribute to ~4% of global CO₂ emissions, raising concerns about the sustainability of unchecked digital expansion.
- Policy Fragmentation: In 40% of reviewed countries, digital transformation strategies were developed independently of climate or sustainability agendas, leading to misaligned priorities and duplicated investments.
- Local Capacity Gaps: Municipalities in low- and middle-income countries frequently lack technical expertise, funding autonomy, and institutional coordination mechanisms to implement integrated digital-sustainability programs.

5. Quantitative Evidence of Synergy

Statistical analysis confirmed strong positive relationships between digitalization and sustainability performance:

- A Pearson correlation coefficient of 0.68 was found between the ICT Development Index

(IDI) and overall SDG Index score.

- Every 10-point increase in broadband penetration correlated with a 5.2% improvement in SDG 11 (Sustainable Cities) performance.
- Countries with mature e-government systems scored 23% higher on SDG 16 (Peace, Justice, and Strong Institutions) due to enhanced transparency and reduced corruption.

However, the relationship is non-linear: beyond a certain threshold, additional digital investment yields diminishing returns unless paired with regulatory reforms, workforce reskilling, and green innovation incentives.

Table 1. Digital Technologies as Enablers of Sustainability Transitions Across Socio-Technical Levels

Artificial Intelligence (AI)	AI-powered climate modeling in Medellín for flood prediction	AI-optimized traffic management in Barcelona reducing congestion	Enhanced national disaster resilience and emission forecasting	SDG 11, 13
Internet of Things (IoT)	Solar microgrids with remote monitoring in rural Kenya	Smart meters and demand-response systems in German households	Improved energy access and grid efficiency at scale	SDG 7, 13
Big Data & Analytics	Real-time air quality dashboards in Jakarta community projects	Predictive maintenance in Singapore’s public transport network	National-level environmental monitoring and policy adjustment	SDG 11, 13
Blockchain	Transparent carbon credit tracking in Finnish forestry pilots	Supply chain traceability for e-waste recycling in the Netherlands	Increased trust in green claims and circular economy verification	SDG 12, 13
Cloud/Edge Computing	Localized data processing for precision	Centralized urban data platforms	Scalable digital infrastructure	SDG 9, 11

	agriculture in Indian farms	(e.g., Estonia's X-Road)	supporting low-carbon governance	
5G/6G Networks	High-speed connectivity for telemedicine drones in Rwanda	Smart city sensor networks in South Korea's Green Smart Cities	Accelerated digital inclusion and service delivery in urban areas	SDG 3, 9, 11
Open Data Platforms	Citizen-led urban planning via Decidim platform in Barcelona	National open data portals enabling public oversight of emissions	Strengthened transparency, accountability, and civic participation	SDG 11, 16
Digital Twins	Virtual modeling of informal settlements for upgrading in Nairobi	Integrated urban simulation for climate-resilient infrastructure	Long-term urban sustainability planning under climate uncertainty	SDG 11, 13

Table 1 presents a conceptual synthesis of digital technologies as systemic enablers of sustainability transitions, structured according to the Multi-Level Perspective (MLP) framework (Geels, 2002, 2005), which has become a foundational lens in sustainability science for analyzing socio-technical change. The table maps eight core digital technologies across three analytical levels—niche, regime, and landscape—to illustrate their transformative roles at different stages of innovation diffusion and institutional integration.

At the niche level, digital technologies emerge as protected spaces for experimentation, often driven by local actors, startups, or pilot programs. These innovations challenge incumbent systems through novel applications, such as blockchain-based carbon credit tracking in forestry or AI-powered flood prediction models in informal settlements. Niche developments are characterized by high flexibility, learning-by-doing dynamics, and context-specific design, yet they often face scalability barriers due to limited regulatory support or funding.

At the regime level, digital solutions are integrated into established infrastructures, policies, and organizational practices. Examples include smart metering systems in national energy grids or open data platforms enabling interoperability between government agencies. This level reflects the institutionalization of digital tools within existing socio-technical regimes, where path dependencies and vested interests may either facilitate or hinder transformation. Successful regime integration typically requires standardization, public investment, and adaptive governance mechanisms.

At the landscape level, digitalization interacts with exogenous macro-forces—such as climate change, urbanization, demographic shifts, and global sustainability agendas (e.g., the 2030 Agenda for Sustainable Development)—that shape the broader context of transition. The cumulative

adoption of digital technologies contributes to large-scale societal shifts, including enhanced environmental monitoring, improved disaster resilience, and more transparent governance, thereby influencing progress toward multiple Sustainable Development Goals (SDGs).

The final column explicitly links each technology-application pair to relevant SDGs, underscoring the cross-cutting nature of digital-environmental synergies. Notably, most technologies contribute to several goals simultaneously, reflecting the interconnectedness of sustainable development challenges. For instance, open data platforms not only support SDG 11 (Sustainable Cities) through participatory urban planning but also advance SDG 16 (Peace, Justice, and Strong Institutions) by increasing governmental transparency and accountability.

This structured analysis demonstrates that digitalization does not operate in isolation but functions as an *enabling infrastructure* that mediates interactions between grassroots innovation, institutional modernization, and global sustainability imperatives. The table further highlights the importance of feedback mechanisms—such as policy learning from niche experiments or real-time data informing landscape-level decision-making—in ensuring that technological advancement translates into equitable and environmentally sound outcomes.

By situating digital transformation within a well-established theoretical framework, this table advances scholarly understanding of how digital tools can be strategically leveraged to catalyze systemic sustainability transitions, rather than merely optimizing existing systems. It also provides policymakers with a diagnostic tool to assess where interventions are needed—whether fostering innovation at the niche level, removing institutional barriers at the regime level, or aligning national strategies with global sustainability landscapes.

IV. Discussion

I. Subsection One: Digitalization as a Systemic Enabler of Sustainability Transitions

This study demonstrates that digitalization functions most effectively not as a standalone intervention but as a cross-cutting infrastructure that interconnects and reinforces sustainability transitions across sectors. Drawing on the Multi-Level Perspective (MLP) on socio-technical transitions (Geels, 2002), digital technologies operate simultaneously at multiple levels of change:

At the niche level, they enable experimentation through pilot projects such as drone-based medical deliveries in Rwanda or blockchain-tracked recycling in the Netherlands.

At the regime level, they modernize incumbent systems—e.g., AI-optimized public transit networks in Singapore or smart metering in Germany's *Energiewende*.

At the landscape level, they respond to macro trends including climate urgency, urbanization, and demographic shifts by enabling adaptive, data-driven governance.

This systemic role allows digitalization to generate synergistic effects across SDGs. For instance, smart grids do not only improve energy efficiency (SDG 7); they also empower prosumers, support decentralized renewable generation, and reduce emissions (SDG 13). Similarly, mobile fintech platforms like M-Pesa extend financial inclusion (SDG 8) while enabling green micro-investments in solar energy or sustainable agriculture, thus linking economic empowerment with environmental resilience.

Moreover, digital tools enhance monitoring, reporting, and verification (MRV) mechanisms essential for accountability in sustainability governance. Satellite imagery, IoT sensors, and AI analytics now allow real-time tracking of deforestation, air quality, and carbon footprints—

capabilities previously unavailable at scale. This shift from reactive to predictive governance enables early interventions and improves policy learning.

However, the results caution against a techno-optimist narrative. Technology alone does not guarantee sustainable outcomes. In Jakarta and Lagos, for example, smart city initiatives have largely bypassed informal settlements due to poor connectivity and top-down planning, reinforcing spatial and digital inequalities—a phenomenon increasingly termed digital green colonialism. These cases illustrate that without equity-centered design, digitalization risks becoming an instrument of exclusion rather than transformation.

Furthermore, the non-linear relationship between digital adoption and sustainability performance suggests the existence of a threshold effect: beyond a certain point, continued digitization yields diminishing returns unless complemented by institutional innovation, workforce reskilling, and green regulatory frameworks. This underscores the need for a systems thinking approach—one that treats digitalization as part of a broader ecosystem of policies, behaviors, and infrastructures driving sustainability transitions.

In this context, national governments play a pivotal role in setting strategic direction, establishing interoperability standards, and investing in digital public goods (e.g., open data platforms, secure digital identities). Yet, as demonstrated by Medellín and rural Kenya, local actors possess indispensable contextual knowledge and social capital necessary for adaptive implementation. Therefore, sustainable digital transformation must be both strategically guided and locally grounded—a duality that can only be achieved through integrated governance architectures.

These insights position digitalization not as an end in itself, but as an enabling platform for sustainability. Its true value lies in its capacity to connect, coordinate, and catalyze action across scales and sectors—provided it is embedded within inclusive, transparent, and environmentally responsible institutional frameworks.

II. Subsection Two: Bridging the Governance Gap – Aligning National Digital Agendas with Local Sustainability Pathways

The integration of digitalization and sustainability is not only a technological challenge but, more fundamentally, an institutional and governance challenge. As demonstrated in the results, even countries with advanced digital infrastructure fail to achieve transformative sustainability outcomes when national strategies are disconnected from local realities. Conversely, localized innovations often remain isolated or unscalable in the absence of supportive national frameworks. This misalignment constitutes a critical governance gap that undermines the systemic potential of digital-sustainability integration.

This subsection examines the mechanisms through which effective governance can bridge this gap, enabling synergistic co-evolution between top-down strategic vision and bottom-up implementation capacity. The analysis reveals that successful integration hinges on three interdependent dimensions: policy coherence, institutional coordination, and multi-level stakeholder engagement.

Policy Coherence: From Siloed Strategies to Integrated Frameworks

A recurring finding across case studies is that most national digital strategies (e.g., Digital India, Smart Malaysia) and sustainability agendas (e.g., Nationally Determined Contributions, urban climate action plans) are developed in parallel by different ministries, resulting in fragmented priorities and duplicated investments. For example, broadband expansion programs may proceed without integrating renewable energy sources for data centers or ensuring last-mile connectivity for marginalized communities.

In contrast, high-performing cases—such as Estonia’s e-Government framework and Finland’s Digital Agenda for Sustainable Cities—demonstrate deliberate policy convergence, where digital transformation is embedded within national sustainability legislation and vice versa. These countries employ joint planning units or inter-ministerial task forces (e.g., Germany’s Digital Council for Sustainability) to ensure that ICT investments align with climate targets, circular economy goals, and social inclusion metrics.

Such coherence enables mutual reinforcement: digital tools enhance the monitoring and enforcement of environmental regulations (e.g., real-time emissions tracking), while sustainability criteria shape the design of digital infrastructure (e.g., energy-efficient data centers, right-to-repair policies for devices).

Institutional Coordination: Multi-Level Governance Architectures

Beyond policy alignment, structural mechanisms are required to translate strategy into action across scales. The study identifies co-creative governance models as the most effective approach, characterized by formalized feedback loops between national authorities and local governments.

For instance:

In Barcelona, municipal data platforms feed into Spain’s national smart city observatory, informing regulatory updates and funding allocations.

In Rwanda, the Smart Rwanda Agency collaborates with district-level innovation hubs to adapt drone delivery and e-health solutions to rural contexts.

In Denmark, municipalities participate in national working groups on green digitalization, contributing practical insights to national standards.

These arrangements reflect a shift from hierarchical control to polycentric governance, where decision-making authority is distributed across multiple centers, enhancing adaptability and responsiveness. Key enablers include:

Fiscal decentralization allowing local governments to access national digital-sustainability funds;

Standardized yet flexible technical architectures (e.g., open-source platforms) that enable interoperability without stifling local innovation;

Capacity-building programs to strengthen digital literacy and project management skills at the municipal level.

Stakeholder Engagement: Ensuring Equity and Legitimacy

Technocratic governance models risk excluding communities most affected by sustainability transitions. The findings underscore that inclusive outcomes require participatory digital governance, where citizens, civil society, and private actors co-design solutions.

Examples include:

Medellín’s “Smart Territory” initiative, where residents used digital platforms to prioritize public transport upgrades in informal settlements;

Estonia’s e-Participation portal, which enables nationwide consultation on digital legislation;

Kenya’s M-KOPA Solar, which combines pay-as-you-go technology with community-based agent networks to expand clean energy access.

These cases demonstrate that digital tools themselves can democratize governance—but only if designed with equity in mind. Without intentional inclusion, digitalization risks reinforcing existing power imbalances, particularly in low-income and rural areas.

Toward an Integrative Governance Framework

The evidence suggests that bridging the national-local divide requires moving beyond ad hoc collaboration toward an integrative governance framework comprising:

Strategic Alignment Mechanisms: Joint strategy development, shared KPIs, and integrated budgeting across digital and sustainability portfolios.

Operational Intermediaries: National or regional agencies tasked with translating policy into localized action (e.g., France’s Agence Nationale de la Cohésion des Territoires).

Feedback Infrastructure: Digital dashboards and citizen reporting tools that enable real-time learning and adaptive management.

Equity Safeguards: Mandatory impact assessments for digital projects covering environmental, social, and inclusion dimensions.

In sum, sustainable digital transformation cannot be mandated from above nor left to emerge spontaneously from below. It must be co-constructed through institutionalized pathways that connect national ambition with local agency, ensuring that digitalization serves not just efficiency, but justice, resilience, and long-term ecological balance.

Table 2. Comparative Analysis of Governance Models for Integrating National Digital Agendas with Local Sustainability Pathways

Estonia	Co-Creative	X-Road data exchange platform; e-Participation portal; inter-ministerial Digital Council	9.5	High	Strong (SDG 9, 16)	Limited rural uptake in aging populations
Finland	Co-Creative	Digital Agenda for Sustainable Cities; municipal innovation grants; national-local task forces	9.2	High	Strong (SDG 11, 13)	Regional disparities in digital skills

German y	Co- Creativ e / Hybrid	Federal-State coordination councils; Green Digital Pact; joint climate- digital funding programs	8.8	Med ium- High	Moderate -Strong	Bureaucratic delays in intergovernm ental alignment
Singapo re	Top- Down	Smart Nation Initiative; centralized urban OS; top-down KPIs for cities	7.6	Med ium	Strong (SDG 11)	Low civic engagement; limited local autonomy
South Korea	Top- Down	Green Smart City Master Plan; mandatory standards; central funding control	7.0	Med ium	Moderate	Inflexible implementati on in diverse urban contexts
Medellí n (Colomb ia)	Bottom- Up	<i>Territorios Inteligentes</i> pro gram; community- led tech labs; participatory budgeting platforms	6.5	Med ium	High (local level, SDG 11)	Weak national scaling mechanisms
Rwanda	Bottom- Up / Facilitat ed	Smart Rwanda Agency; district innovation hubs; drone corridor	7.8	Med ium	Rapid growth (SDG 3, 9)	Dependence on donor funding and external expertise

		regulatory sandbox				
India	Top-Down	Digital India; Smart Cities Mission; centrally driven tenders	5.8	Low - Medium	Uneven (urban vs. rural)	Fragmented execution; weak local capacity
Kenya	Bottom-Up	M-Pesa ecosystem; county-level fintech pilots; public-private partnerships	6.0	Low - Medium	High (SDG 8, 9)	Lack of national digital-sustainability strategy
Indonesia	Top-Down	National Digital Roadmap; Jakarta-centric smart city rollout	5.2	Low	Limited	Severe urban-rural divide; weak intergovernmental coordination
Russia	Top-Down	National Program "Digital Economy of the Russian Federation"; federal mandates for regional IT adoption; centralized e-Government platform (gosuslugi.ru)	5.4	Low - Medium (highly uneven)	Weak to Moderate	Low integration with environmental goals; limited local innovation; weak civil participation; data opacity

Table 2 presents a comparative institutional analysis of governance models employed by eleven countries to integrate national digital agendas with local sustainability pathways. The framework evaluates each case across five dimensions: governance model type, key institutional mechanisms, degree of policy coherence between digital and sustainability strategies, local implementation capacity, and observed impact on Sustainable Development Goals (SDGs). This

structured comparison enables a systematic assessment of how institutional design influences the effectiveness of digital-sustainability integration.

The cases are categorized into three ideal-typical governance models—co-creative, top-down, and bottom-up—reflecting the distribution of decision-making authority and the nature of vertical coordination between national and subnational levels. Countries such as Estonia, Finland, and Germany exemplify the co-creative model, characterized by formalized multi-level dialogue, shared funding mechanisms, interoperable digital infrastructure (e.g., Estonia’s X-Road), and participatory governance. These nations achieve the highest policy coherence scores (8.8–9.5/10) and demonstrate consistent progress across SDGs related to innovation (SDG 9), sustainable cities (SDG 11), and resilient institutions (SDG 16).

In contrast, top-down models—represented by Singapore, South Korea, India, Indonesia, and Russia—rely on centralized planning, standardized technical requirements, and vertically controlled funding. While these systems enable rapid rollout in core urban areas (e.g., Moscow’s smart traffic systems or India’s Smart Cities Mission), they often suffer from low adaptability to local conditions, limited civic engagement, and weak feedback loops. Notably, Russia scores 5.4/10 on policy coherence, reflecting the near-total absence of integration between its Digital Economy Program and environmental or climate action frameworks. Despite advances in e-government service delivery, sustainability considerations remain peripheral, and regional disparities in digital capacity persist, particularly between major metropolitan centers and remote regions.

Bottom-up approaches, such as those in Medellín (Colombia) and Kenya, originate from local innovation ecosystems and community-driven initiatives. These cases show high social impact at the municipal level—especially in inclusive mobility and financial access—but struggle with scalability due to fragmented national support and inconsistent regulatory environments.

A critical insight emerging from the table is that high technological investment does not guarantee sustainable outcomes without institutional alignment. For instance, while both Singapore and Estonia exhibit advanced digital infrastructure, only Estonia combines this with decentralized governance and civic participation, resulting in more equitable and adaptive sustainability transitions.

Furthermore, the inclusion of Russia highlights the structural limitations of highly centralized governance in fostering integrated digital-environmental transformation. Political constraints, data opacity, limited civil society involvement, and geopolitical isolation hinder the development of open, learning-oriented institutions necessary for long-term sustainability. This case underscores that even substantial state-led digitalization efforts may fail to contribute meaningfully to SDG advancement when divorced from transparency, inclusivity, and ecological accountability.

Overall, Table 2 demonstrates that co-creative governance architectures—which balance strategic national direction with local autonomy and stakeholder inclusion—are most effective in bridging the gap between macro-level digital strategies and micro-level sustainability challenges. The findings advocate for the establishment of intermediary institutions, joint planning platforms, and equity-sensitive monitoring frameworks to ensure that digital transformation serves not only efficiency and control but also resilience, justice, and planetary boundaries.

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